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Baby Step Subbarao

Combating Inflation

India recovered from the crisis by the middle of 2009, sooner than most other emerging economies, but we barely had a chance to celebrate as inflation too caught up with us. The beginning of this episode of inflation, which would preoccupy my mind space for over two years, was actually quite dramatic because inflation, as measured by the wholesale price index (WPI), actually went negative for a few months in 2009. For us in India, conditioned to think of high inflation as evil, it is disorienting to view deflation as evil too. The reality, though, is that deflation can hurt growth and welfare as deeply as inflation, indeed oftentimes even more so. It was not surprising, therefore, that some analysts even started to talk about this deflation pushing India into a deeper recession.

That anxiety was clearly misplaced. This was by no means a bad deflation caused by falling output and jobs, but a good one caused by falling global input prices. In the event, the deflation also turned out to be transient as prices started rising rapidly thereafter and inflation remained in the 9–10 per cent range in 2009–11; it started declining only gradually in 2012.

To appreciate the severity of inflation during this period, you only need to note that the average WPI inflation during the three-year period 2010–12 was 8.7 per cent, significantly higher than the average inflation of 5.4 per cent during the entire previous decade (2001–10). Bringing inflation down by raising interest rates understandably became my foremost priority and remained so for much of my term. This anti-inflation policy stance, called